The *Grundrisse* (The 1857-58 Manuscript)

The Chapter on Capital: Part 22

The Distribution of the Direct Labour Product between Workers and Capitalists (pp. 434-439)

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Marx continues with his numerical example.

Suppose that the reason for the twist producer to sell at a profit rate of 10% rather than $11\frac{1}{9}$, i.e. to sell her product below value, is the kind of competitive pressure just referred to. She now sells the twist at a per-pound price $\frac{1}{20}$ of a thaler below its value.[1]

How would this affect the worker? Let us suppose her wages are 20 thalers. In money form, this magnitude is independent of the rate of profit,[2] but, if her means of subsistence were twist, she would obtain more at the lower rate of profit than at the higher (since the seller of twist is selling twist below value at the lower rate, at $4\frac{19}{20}$ thalers a pound, rather than 4).[3]

If the worker concerned works in a branch of production whose product forms no part of her means of consumption then, for the reasons already set out, she would be directly unaffected by the rate of profit her capitalist would sell at. Thus, in general, the effect on the worker's wage of a change in the selling price of a commodity resulting from profit-rate equalisation will depend

[1] The cost of production is $4\frac{1}{2} = \frac{9}{2}$ thalers the pound, 10% of which being $\frac{9}{20}$; profit at $11\frac{1}{9}$ is $\frac{1}{2}$ thaler; the difference (i.e. $\frac{1}{2} - \frac{9}{20}$) being $\frac{1}{20}$.

[2] Since what is distributed in the profit-rate equalisation is surplus labour, and surplus labour excludes necessary labour by definition. "[R]ather, for him [the worker] it is a matter of performing a part of his surplus labour indirectly for capitalist B, instead of directly for capitalist A; i.e. through the mediation of capitalist A." (Marx 1973, p. 435)

[3] At $4\frac{19}{20}$ thalers a pound, the workers' 20 thalers wages would buy $20 \times \frac{20}{99} = 4\frac{4}{99}$ lb of twist (Marx 1973 (p. 436) says $4\frac{4}{90}$ lb; this is a misprint); at 5 thalers a pound, 20 thalers would buy 4 lb. The difference of $\frac{4}{99}$ lb, at a per-pound price of $4\frac{19}{20} = \frac{99}{20}$ thalers, would be worth $\frac{4}{99} \times \frac{99}{20} = \frac{4}{20} = \frac{1}{5}$ thalers (or "6 silver groschen", says Marx; at the time he was writing, in Prussia one thaler was divided into 30 groschen, which were in turn divided into 12 pfennigs). (Marx 1986, p. 364 inserts a square-bracketed interpolation before this last number that says "a little over", as if Marx were rounding. He is not.) As Marx notes, *in twist*, the workers wages would be 1% more at this lower rate of profit than what they would otherwise be.

on the degree to which the commodity in question forms a part of her consumption basket.[4]

Assume now, says Marx, three capitalists (A, B and C): A produces twist, B grain and C silver. The total product of each is 200 thalers; in addition, "the relations of surplus and necessary labour, and of outlays and profit be just the same." (Marx 1973, p. 437)

Let A sell 40 lb (200 thalers' worth) of twist at 198 thalers; B sell 40 bushels (200 thalers' worth) of grain at 198 thalers; and C her product of 200 thalers at their full value.

Between A and B, if each exchanged their product with the other, there would be no loss or gain: each would give and receive 198 thalers of product. C, however, receives 200 thalers of product from A and B, paying each 2 thalers too little;[5] C would receive, therefore, $\frac{2}{5}$ of a pound of twist too much[6] and $\frac{2}{5}$ of a bushel of grain too much.

Now assume that A sells 40 lb of twist to C for 200 thaler, but that B sells 40 bushels of grain to C for 202 thalers, 2 thalers above its value. Between A and C there is no loss or gain; both exchange equal values. The price of B's grain, however, has risen above its value. At value, 200 silver thalers exchange for 40 bushels of grain; 1 thaler being equal to $\frac{40}{200} = \frac{1}{5}$ bushels. Now, 202 silver thalers exchanges for 40 bushels, with 1 silver thaler exchanging for $\frac{40}{202}$ bushels. This means that 200 silver thalers will exchange for $200 \times \frac{40}{202} = \frac{8{,}000}{202} = 39\frac{61}{101}$ bushels.[7] Likewise, 40 lb of twist, which also exchange for 200 silver thalers, will now exchange for $39\frac{61}{101}$ bushels of grain.[8] One bushel of wheat will now exchange for $\frac{202}{40} = 5\frac{1}{20}$ thalers.[9]

Assume now that $\frac{1}{2}$ of the worker's subsistence is grain and $\frac{1}{10}$ twist. On the assumption of twist being sold at 10% profit rather than $11\frac{1}{9}\%$ the worker gained $\frac{1}{50}$ thaler in the value of her wage; $\frac{1}{50}$ is $\frac{1}{10}\%$ of the wage of 20 thalers. Now, on the assumption of the exchange of 200 bushels of grain for 202 silver thalers, the value of her wage will fall.[10] "Although the capitalist would have paid him his necessary labour, his wages would fall beneath the necessary pay as a consequence of grain man B's overcharging." (Marx 1973, p. 437) There are therefore, for the worker, three possible outcomes of these kinds of price-value deviations: "his gain or loss from

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[4] In the example we have just seen, in which, if the worker's wage were 100% twist, her gain would be $\frac{1}{5}$ thaler, if twist formed 10% of her subsistence, then, under the changes Marx has just described, her wage would see a rise of $\frac{1}{50}$ thaler, "or $7\frac{1}{5}$ pfennigs." "This would be the proportion [...] in which he would participate in his own surplus labour [...]". (Marx 1973, p. 436)

[5] At a rate of profit of 10%, the profit per pound of twist (or bushel of grain) is $\frac{9}{20}$ thalers; on the total production of 40 lb (or 40 bushels) profit is equal to $40 \times \frac{9}{20} = 18$ thalers. Subtracting 2 thalers (the difference between 200 and 198 thalers) from this gives a profit of 16 thalers, a rate of profit (given that the production cost per pound (or bushel) is $4\frac{1}{2}$ thalers) of $\frac{16}{40 \times 4^1/_2} = \frac{16}{180} = 8\frac{8}{9}\%$. The difference between this rate of profit and a rate of 10% is $1\frac{1}{9}\%$.

[6] Marx 1973 (p. 437) says "$\frac{2}{3}$ lb twist"; this is a misprint.

[7] The percentage fall in the price of silver as expressed in grain will therefore be $\frac{40/202 - 1/5}{1/5} = \frac{100}{101}\% \lessapprox 1\%$. Marx gives the percentage fall as $1\frac{1}{9}\%$; I cannot see how he arrives at this figure.

[8] In Marx 1973 (p. 437), but not in either Marx 2006 (p. 348) or Marx 1986 (p. 366), "$39\frac{61}{101}$" is rounded to "$39\frac{3}{5}$".

[9] Or 5 thales and $1\frac{1}{2}$ "silver groschen".

[10] Ten thalers (50% of the wage) was spent on grain, buying 2 bushels. Now, to buy 2 bushels costs $2 \times \frac{202}{40} = \frac{404}{40} = 10\frac{1}{10}$ thalers; the wage is therefore now $\frac{1}{10}$ thaler below the cost of reproduction. $\frac{1}{10}$ thaler is $\frac{1}{2} = \frac{5}{10}\%$ of the wage of 20 thalers. Hence, in the aggregate, the worker's loss (according to Marx, who seems to see the two-non value exchanges—twist at a profit rate of 10%, grain for silver at a rate of 202 thalers for 20 bushels—as occurring simultaneously) is equal to $\frac{5}{10}\% - \frac{1}{10}\% = \frac{4}{10}\%$.

the operation = 0; it may depreciate his necessary wages, so that they no longer suffice, hence make him fall below the necessary minimum; it can thirdly bring him a surplus wage, which is resolved into a very small share of his own surplus labour." (Marx 1973, p. 438)

In the numerical example the relation of necessary labour (wages) to material-instrument is $\frac{1}{4}$,[11] necessary labour (wages) being 20 out of a total capital advanced of 100, and 40% of the total value produced (4 lb out of 20 lb). The relation of necessary labour to surplus labour is 100%, i.e. 1 : 1. Under these circumstances the rate of profit is $\frac{1/2 \text{ lb}}{4 1/2 \text{ lb}} = 11\frac{1}{9}\%$. These are the conditions at which the commodity product (40 lb of twist) is sold at value: 5 thalers the pound; a total value of 200 thalers.

We will now look at the consequences for the capitalist and the worker if the former sells (progressively) below value.[12]

(**1**) The capitalist sells at 10% profit (profit being equal to $4\frac{1}{2} \div 10 = \frac{9}{2} \div 10 = \frac{9}{20}$ thalers). $4\frac{1}{2} + \frac{9}{20} = 4\frac{19}{20}$ thalers a pound; the full 40 lb therefore sells for 198 thalers. The capitalist makes "a gift of the $1\frac{1}{9}$ [%] or 2 thalers (transferred surplus value)". The worker would gain ("in the best (impossible) case, if he lived only from the products of his master") by 1% (the fall in price of grain $= \frac{200-198}{200}\% = 1\%$). 1% of 20 thalers (the worker's wage, assuming all of this is spent on grain) = $\frac{20}{100} = \frac{1}{5}$ thalers ("6 silver groschen").

(**2**) The capitalist sells at $4\frac{15}{20} = 4\frac{3}{4}$ thalers a pound. Profit is now $\frac{1/4}{4 1/4} = \frac{1}{18} = 5\frac{5}{9}\%$; compared with the original profit (of $11\frac{1}{9}\%$, on sale at value), the capitalist's loss is $5\frac{5}{9}\%$. At a surplus product of $\frac{1}{4}$ a pound, profit (on 40 lb) = 10 thalers. The total price (for 40 lb) = $40 \times 4\frac{3}{4} = 190$ thalers; the percentage fall $= \frac{200-190}{200} = \frac{10}{200} = 5\%$; 5% of the wage of 20 thaler = 1 thaler (the worker's gain).

(**3**) The capitalist sells at $4\frac{12}{20}$ thalers a pound. Profit is $\frac{1}{10}$ thaler a pound; the rate of profit $= \frac{1/10}{9/2} = \frac{1}{10} \times \frac{2}{9} = \frac{200}{90} = 2\frac{2}{9}\%$, a loss to the capitalist of $11\frac{1}{9}\% - 2\frac{2}{9}\% = 8\frac{8}{9}\%$. The total price of the product $= 40 \times 4\frac{12}{20} = 40 \times \frac{92}{40} = 184$ thalers. The percentage fall in price = $\frac{200-184}{200} = \frac{16}{20} = 8\%$;[13] 8% of the wage of 20 thalers $= 1\frac{3}{5}$ thalers, "1 thaler 18 silver groschen".[14]

(**4**) Finally, the capitalist sells at $4\frac{1}{2}$ thalers the pound. There is no profit; the loss to the capitalist is $11\frac{1}{9}\%$. The total price for 40 lb is 180 thalers, and the percentage fall in price 10%, 10% of the wage of 20 thalers being 2 thalers.

Marx then contrasts all this with the case of the capitalist raising wages, say, Marx suggests, by 20%, from 20 thalers to 22 thalers (because, let us imagine, of a rise in the demand for labour). If we assume that the capitalist still sells the product at its value—40 lb of twist at 5 thalers a pound—then her profit will fall by two thalers, and will stand at 18 thalers; the capital advanced will now be 2 thalers greater than it was, i.e. 182 thalers, while the rate of profit will be $\frac{18}{182} = 9\frac{81}{91}\%$.[15]

[11] Marx 1973, p. 438 says $\frac{1}{5}$; this is a misprint.)

[12] Marx sets all this out in tabular form, which is almost impossible to follow. I shall present it as a list of numbered conditions.

[13] Mysteriously, Marx 1973 (p. 438) has $8\frac{48}{119}\%$.

[14] Despite the incorrect percentage just noted, Marx 1973 (p. 438) has this last figure correct.

[15] Marx is mistaken here, calculating the new rate of profit as having fallen by $1\frac{1}{9}\%$ to stand at 10% (i.e. he forgets

From this Marx extracts the following conclusion. If a capitalist ("say, out of consideration for Mr Proudhon") sold her product at their cost of production, making a profit of zero, what this would represent would be a transfer of surplus labour among all capitalists;[16] the extent that the worker would benefit would depend on (1) the proportion that the commodity in question forms in their basket of means of subsistence and (2) on the proportion her wages take *vis-à-vis* the capital advanced in form of material, instrument, etc.

to raise the capital advanced to 182 thalers). Marx 1973 (p. 439), however, states that the capitalist's "profit would have fallen by only 2 thalers, from 200 to 198." (Since Marx 1973 is translation of the 1953 East German reprint of the 1939-41 Soviet published original, I imagine that errors such as this last originate in the text the translator had to work with. This can only be speculation on my part since I have never been able to locate a copy of this original text.)

[16] Marx does not spell out why this would be; presumably he sees it as a result of profit-rate equalisation.

References

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